

The Reforms Agenda

India will become unstoppable with five reforms in employment, employability and education in the next five years

SINCE 1947, A multitude of leading western observers doubted the ability of

India—a multicultural and multilingual democracy—to survive. However, not only did we defy our sceptics in standing united and democratic to our core, but we also emerged as a global leader across aspects of multilateralism, science, technology, medicine and combating climate change. Today, it gives me immense pleasure to pen down my vision for India as we march towards our 100 years of Independence—*Amrit Kaal*.

One of life's mysteries is whether luck, skill or choices matter more for success. But wise child Calvin (of Hobbes fame) suggests, "The secret to success is being in the right place at the right time. But since you never know the right time, I find the right place and hang out." India is in the right place at the right time over the next five years for our new tryst with destiny, combining mass prosperity with mass democracy. But five reforms to our 3Es (education, employment and employability) could accelerate this outcome over the next five years.

India's economic potential has always been higher than our delivery, and our problem is not jobs but wages. Economists suggest development is a game of Scrabble, where the government



BY MANISH SABHARWAL

INDIA IS IN THE RIGHT PLACE AT THE RIGHT TIME OVER THE NEXT FIVE YEARS FOR OUR NEW TRYST WITH DESTINY, COMBINING MASS PROSPERITY WITH MASS DEMOCRACY

provides the vowels and the private sector offers the consonants; progress lies in making bigger, more, and new words. We have begun our better Scrabble; recent economic reforms (GST, IBC, UPI, Roads, DBT, Jan Vishwas, NEP, etc.) combine with luck (global ageing, China's self-goals, Covid-accelerated digitisation) to enable private entrepreneurship that creates more babies (small companies that grow) rather than dwarves (small companies that stay small). Capital is responding; more than 50% of India's foreign direct investment since 1947 has come in the last five years. We can accelerate this virtuous cycle with five reforms:

Regulatory Cholesterol: India's problem is not jobs but the high wages that only formal, productive employers can pay. But our 63 million enterprises only translate to 25,000 companies with a paid-up capital of ₹10 crore because regulatory cholesterol encourages informality (a sense of humour about the rule of law). Our employers confront over 1,500-plus Acts, 6,000-plus filings, 25,000-plus jail provisions, and 67,000-plus compliances. Counter-intuitively, this cholesterol is a thorn in the flesh for big employers but a dagger in the heart for small employers. The agenda is clear: rationalise, decriminalise, and digitise our regulatory cholesterol.

Social Security: Societies need safety nets to catch those in need because of unlucky opening